

SUPPLEMENT DATED 23 APRIL 2014 TO THE PROSPECTUS DATED 17 JULY 2013

Banco Espírito Santo, S.A.

(incorporated with limited liability in Portugal)

(acting through its head office or its Madeira branch

or its Cayman Islands branch or its London branch or its Luxembourg branch)

and

BES Finance Ltd.

(incorporated with limited liability in the Cayman Islands)

unconditionally and irrevocably guaranteed by

Banco Espírito Santo, S.A *(incorporated with limited liability in Portugal)*

(acting through its London branch)

€20,000,000,000 Euro Medium Term Note Programme

This supplement (the “**Supplement**”) to the prospectus (the “**Prospectus**”) dated 17 July 2013 and supplemented by the first supplement to the Prospectus dated 2 of September 2013, by the second supplement to the Prospectus dated 6 of November 2013 and by the third supplement to the Prospectus dated 24 of February 2014, constitutes a fourth supplement to the base prospectus for the purposes of article 13 of Part II of the Luxembourg Act dated 10 July 2005 relating to prospectuses for securities (the “**Prospectus Act**”) and is prepared in connection with the €20,000,000,000 Euro Medium Term Note Programme (the “**Programme**”) established by Banco Espírito Santo, S.A. (the “**Bank**” or “**BES**”) and BES Finance Ltd. (“**BES Finance**”). Terms defined in the Prospectus have the same meaning when used in this Supplement.

This Supplement is supplemental to, and should be read in conjunction with the Prospectus, the first supplement dated 2 September 2013, the second supplement dated 6 November 2013 and the third supplement dated 24 February 2014.

The purpose of this Supplement is to include a new risk factor in the section of the Prospectus headed “*Risk Factors*”, to incorporate by reference (i) the Bank’s Management Report and (ii) the Financial Statements and Notes to the Financial Statements as at 31 December 2013, which are still to be approved by the General Meeting of Shareholders to be held on 5 May 2014 and to amend the summary of the Prospectus accordingly, to update the section on recent developments of the Bank and to update certain statements in the “*General Information*” section of the Prospectus.

Each of the Bank and BES Finance accepts responsibility for the information contained in this Supplement. To the best of the knowledge of each of the Bank and BES Finance (who have taken all reasonable care to ensure that such is the case) the information contained in this

Supplement is in accordance with the facts and does not omit anything likely to affect the import of such information.

Copies of this Supplement can be obtained from the registered office of the Bank and of BES Finance and from the specified office of the Paying Agent for the time being in Luxembourg. In addition, copies of this Supplement and of the documents incorporated by reference are available for viewing at the Luxembourg Stock Exchange's website (www.bourse.lu).

In accordance with article 13 paragraph 2 of Part II of the Prospectus Act, investors who, before the publication of this Supplement, have already agreed to purchase or subscribe for any Notes to be issued under the Programme, have the right, exercisable within a time limit of two working days after the publication of this Supplement, meaning 29 April 2014, to withdraw their acceptances.

1. Summary

In the section "Summary" commencing on page 11 of the Prospectus, item B12 will be deleted and replaced by the following wording:

"B12. Selected historical key financial information:		
BES Finance		
The following tables set out a summary of the financial information for BES Finance for each of the two years ended 31st December 2012 and 31st December 2011. This financial information was extracted without material adjustment from the audited financial statements of BES Finance for the financial years ended 31st December 2012 and 31st December 2011, respectively.		
Main Indicators (eur million)	2011	2012
Total Assets	4,921	3,192
Total Liabilities	4,684	2,967
Total Equity	238	225
Net Income	-141	10

BES			
The following tables set out a summary of the financial information for the Group on a consolidated basis for each of the three years ended 31st December 2013, 31st December 2012 and 31st December 2011. This financial information was extracted without material adjustment from the consolidated financial statements of the Group for the financial years ended 31st December 2013, 31st December 2012 and 31st December 2011, respectively. The financial information as at 31st December 2013 is still to be approved by the General Meeting of Shareholders to be held on 5 May 2014.			
MAIN INDICATORS	2011	2012	2013
ACTIVITY (eur million)			
Total Assets ⁽¹⁾	98 589	97 765	93 342

Net Assets	80 237	83 691	80 608
Customer Loans (gross)	51 211	50 399	49 722
Customer Deposits	34 206	34 540	36 831
Total Customer Funds	54 383	56 188	56 383
RESULTS/PROFITABILITY (%)			
Net Income (M€)	-108,8	96,1	-517,6
Return on Equity (ROE)	-0,1%	1,2%	-6,9%
Return on Assets (ROA)	0,00%	0,12%	-0,62%
SOLVENCY RATIOS⁽²⁾			
- CORE TIER I - BoP	9,2%	10,5%	10,6%
- CORE TIER I - EBA	-	9,9%	9,8%
- TIER I	9,4%	10,4%	10,4%
- Total	10,7%	11,3%	11,8%
LIQUIDITY (eur million)			
ECB funds (net) ⁽³⁾	8 677	6 897	5 414
ECB Eligible Assets (collaterals)	15 057	19 402	18 578
Loans to deposits Ratio ⁽⁴⁾	141%	137%	121%
ASSET QUALITY (%)			
Overdue Loans > 90 days / Gross Loans	2,74%	3,90%	5,68%
Provisions / Overdue Loans > 90 Days	154,5%	136,9%	119,9%
Credit at Risk ⁽⁵⁾ /Total Credit	6,59%	9,44%	10,56%
Credit Provisions/Credit at Risk ⁽⁵⁾	64,2%	56,6%	64,5%
Credit Provisions Reserve / Customer Loans (Gross)	4,23%	5,34%	6,81%
Cost of Risk ⁽⁶⁾	1,17%	1,62%	2,02%
PRODUCTIVITY/EFFICIENCY			
Operating Costs / Total Assets (%)	1,15%	1,18%	1,22%
Assets per Employee (€,000)	9 996	9 832	9 137

Total Cost to Income (%)	57,9%	44,6%	59,8%
Cost to Income (ex-markets) (%)	57,3%	57,2%	65,8%

The following table sets out a summary of the financial information for the Group on a consolidated basis for the three months ended 31st March 2013. This financial information was extracted without material adjustment from the consolidated financial statements of the Group for the three months ended 31st March 2013.

MAIN INDICATORS	31 March, 2013	31 March, 2012	Change
ACTIVITY (euro million)			
Total Assets ⁽¹⁾	98 659	97 345	1.3%
Net Assets	84 946	81 265	4.5%
Gross Loans	51 267	50 984	0.6%
Customer Deposits	37 417	35 959	4.1%
Core Capital - BoP	6 510	6 066	7.3%
Core Capital - EBA	6 089	-	-
SOLVENCY			
Solvency Ratio ⁽²⁾			
- CORE TIER I - BoP	10.5%	9.4%	1.1 pp
- CORE TIER I - EBA	9.9%	-	-
- TIER I	10.4%	9.6%	0.8 pp
- TOTAL	11.2%	10.8%	0.4 pp
LIQUIDITY (euro million)			
ECB funds (net) ⁽³⁾	7877	12 108	- 4 231
Repoable Asstes	25 435	24 231	1 204
Loan/deposits ratio ⁽⁴⁾ (%)	129%	135%	-6 pp
ASSET QUALITY			
Overdue loans + 90 days / Gross loans	4.34%	2.96%	1.38 pp
Coverage of Overdue Loans + 90 days	126.8%	150.3%	-23.5 pp

Credit at Risk	10.10%	7.15%	2.95 pp
Provisions for Credit / Gross loans	5.51%	4.45%	1.06 pp
Cost of risk ⁽⁵⁾	1.46%	1.17%	0.29 pp
RESULTS & PROFITABILITY			
Net income (EUR mn)	-62.0	11.6	
ROE ⁽⁶⁾	-3.53%	0.51%	-4.04 pp
ROA	-0.30%	0.06%	-0.36 pp
EFFICIENCY			
Cost to Income	61.8%	51.4%	10.4 pp
Cost to Income (ex markets)	71.3%	54.3%	17.0 pp
BRANCH NETWORK			
Retail Network	769	789	-20
- Domestic	659	686	-27
- International	110	103	7
(1)	Net Assets + Asset Management + Other off-balance sheet liabilities + Securitised Credit		
(2)	Accroding to IRB Foundation; preliminary March 2013 data		
(3)	Includes funds from and placements with the ECB System; positive = net borrowing; negative = net lending		
(4)	Ratio calculated according to BoP definition for the Funding & Capital Plan		
(5)	P&L provisions / Gross Loans		
(6)	Annualised Net Income		
Statements of no significant change			
There has been no significant change in the financial or trading position of BES or the Group since 31st December 2013, the last day of the financial period in respect of which the most recent financial statements of BES and the Group have been prepared.			
There has been no significant change in the financial or trading position of BES Finance since 31st December 2012, the last day of the financial period in respect of which the most recent financial statements of BES Finance have been prepared.			
Statements of no material adverse change			
There has been no material adverse change in the prospects of BES or the Group since 31st December 2013, the last day of the financial period in respect of which the most recently audited financial statements of BES and the Group have been prepared.			
There has been no material adverse change in the prospects of BES Finance since 31st December 2012,			

the last day of the financial period in respect of which the most recently audited financial statements of BES Finance have been prepared.”

2. Risk Factors

In the section “Risk Factors” commencing on page 31 of the Prospectus, after the risk factor numbered 1.16, a new risk factor will be added with the following wording:

“1.17 2013 KPMG AUDIT REPORT

In its audit report of the BES’ consolidated financial statements for the financial year ended on 31 December 2013, KPMG included an emphasis of matter with respect to note 46 therein, which makes reference to the BES Group's placement of certain debt instruments issued by Espírito Santo International, S.A. (“ESI”) and certain of its subsidiaries. As at 31 December 2013, the total amount of these debt instruments was euro 3,035 million, of which euro 1,565 million were held by retail customers of the BES Group and euro 1,470 million by its institutional customers. As at 14 March, 2014 the total amount of these debt instruments held by retail customers of the BES Group was euro 867 million. Although ESI has put in place reorganisation and deleveraging programs aimed at rebalancing its financial position, given the challenges associated with ESI's ability to fully implement these programs and its financial position generally, Espírito Santo Financial Group S.A. has unconditionally and irrevocably guaranteed the obligations of ESI under the debt instruments distributed to BES Group retail customers. In the event that BES Group customers suffer losses from debt securities issued by ESI, this may have negative reputational consequences and, as a consequence, could have a material adverse effect on the BES Group's financial condition and results of operations.”

3. Documents Incorporated by Reference

In the section “Documents Incorporated by Reference” commencing on page 58 of the Prospectus, a new item (h) will be added after item (g) with the following wording:

“The management report, the auditors’ report and audited consolidated and non-consolidated annual financial statements of the Bank for the financial year ended 31st December, 2013, as set out in the documents entitled “I. Management Report” and “II. Financial Statements and Notes to the Financial Statements as at 31 December 2013”, which annual financial statements are still to be approved by the General Meeting of Shareholders to be held on 5 May 2014, including:

(i) statements of income (pages 180 and 182 of the document entitled “I. Management Report” and page 3 of the document entitled “II. Financial Statements and Notes to the Financial Statements as at 31 December 2013”);

(ii) balance sheet (page 179 and 181 of the document entitled “I. Management Report” and page 5 of the document entitled “II. Financial Statements and Notes to the Financial Statements as at 31 December 2013”);

(iii) statement of changes in equity (page 6 of the document entitled “II. Financial Statements and Notes to the Financial Statements as at 31 December 2013”);

(iv) cashflow statements (page 7 of the document entitled “II. Financial Statements and Notes to the Financial Statements as at 31 December 2013”);

(v) accounting policies and explanatory notes (pages 8 – 179 of the document entitled “II. Financial Statements and Notes to the Financial Statements as at 31 December 2013”);

and

(vi) auditors’ report (pages 180- 182 of the document entitled “II. Financial Statements and Notes to the Financial Statements as at 31 December 2013”).”

4. Recent Developments

In the section “Banco Espírito Santo, S.A. and BES Group” commencing on page 136 of the Prospectus, at the end of the heading “11. Recent Developments” commencing on page 191 of the Prospectus, a new paragraph will be added with the following wording:

“On 31 March 2014, BES acquired from Espírito Santo Financial Group S.A. a 9% stake in Banco BEST – Banco Electrónico de Serviço Total, S.A, for c. EUR 12mn. On the same date, BES acquired from Espírito Santo Tech Ventures, SGPS, S.A., which fully consolidates in BES, a 33.97% stake in Banco BEST. After these transactions, BES holds directly 75% of the share capital of Banco BEST.”

5. General Information

In the section “General Information” commencing on page 222 of the Prospectus, the paragraphs under the heading “Significant or Material Change” shall be deleted and replaced with the following wording:

“Save as disclosed in section 11 (Recent Developments) of the chapter entitled “Banco Espírito Santo, S.A. and BES Group” found on pages 191 and 192 of this Prospectus, there has been no significant change in the financial or trading position of the Bank and the Group since 31st December 2013. There has been no significant change in the financial or trading position of BES Finance since 31st December 2012. There has been no material adverse change in the financial position or prospects of BES Finance since 31st December 2012. There has been no material adverse change in the financial position or prospects of the Bank or the Group since 31st December 2013.”

Dated 23 April 2014